

**Submitted via the Federal eRulemaking Portal (regulations.gov),
Docket No. NCUA-2026-1024**

Melane Conyers-Ausbrooks
Secretary of the Board
National Credit Union Administration
1775 Duke Street
Alexandria, Virginia 22314-3428

June 22, 2026

Re: Docket No. NCUA-2026-1024; RIN 3133-AG10, Implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the National Credit Union Administration (91 Fed. Reg. 28956, May 18, 2026)

Dear Ms. Conyers-Ausbrooks:

Tokenization Systems, an independent research program on stablecoin and payment infrastructure regulation, submits this comment on the NCUA's proposed standards for the issuance of payment stablecoins by NCUA-Licensed Permitted Payment Stablecoin Issuers (PPSIs). Tokenization Systems has submitted comments on each of the parallel GENIUS Act implementing rulemakings: the OCC implementing rule (Docket OCC-2025-0372, including a supplemental comment on interface-layer conduct), the FDIC application rule (RIN 3064-AG20) and activities rule (RIN 3064-AG19), Treasury's state-similarity principles (TREAS-DO-2026-0232), the FinCEN general AML/CFT rulemaking (FINCEN-2026-0034, with a supplemental comment), the FinCEN-OFAC PPSI rulemaking (FINCEN-2026-0100, with a supplemental comment), and the banking agency joint AML/CFT rule (91 Fed. Reg. 18304). This comment completes Tokenization Systems' coverage of the GENIUS-implementing agencies. Because Tokenization Systems has analyzed each sibling proposal in detail, several recommendations below address a question no single-docket commenter is positioned to address: where the NCUA proposal and the sibling proposals diverge in ways that would invite charter arbitrage, and where deliberate alignment would be the stronger rule.

The comment applies Tokenization Systems' control-layer framework, grounded in the Control Layer Intensity Index (CLII) and the Minimum Viable Equivalence Pack (MVEP), both available on SSRN. CLII scores stablecoin operators on the intensity of operational control they exercise over issuance, routing, custody, and compliance functions; MVEP identifies ten categories of structural features that distinguish operators whose architectures provide functional equivalents to traditional deposit protection from those whose architectures do not (Zukowski, "Minimum Viable Equivalence Pack," SSRN 6363138). The framework is introduced at length in Tokenization Systems' FDIC RIN 3064-AG19 comment and is summarized here only where a recommendation depends on it.

The comment makes eleven specific recommendations organized in seven groups and one observation. Group I (Recommendations 1 and 2) addresses reserve diversification and reserve transparency, responsive to Questions 58, 68, 69, 83, 86, and 87. Group II

(Recommendations 3 through 5) addresses share insurance and tokenized shares, responsive to Questions 39, 167 through 176, and 180. Group III (Recommendations 6 and 7) addresses redemption, responsive to Questions 97, 99, 101, 102, and 103. Group IV (Recommendation 8) addresses capital calibration, responsive to Questions 153 and 154. Group V (Recommendation 9) addresses insolvency and resolution, responsive to Questions 37, 86, 143, and 188. Group VI (Recommendation 10) addresses cross-agency coordination, responsive to Questions 1, 2, 126, and 131, and to the statutory question the proposal’s footnote 160 identifies. Group VII (Recommendation 11) addresses stress testing, responsive to Question 194. The observation addresses the operational backstop. Each recommendation is implementable within the proposed rule’s existing structure and is consistent with the GENIUS Act’s statutory architecture.

I. Group I: Reserve diversification and reserve transparency (Recommendations 1 and 2)

Recommendation 1 (Q58, Q68, Q69): Adopt the core quantitative diversification standards as requirements, not as an optional safe harbor

Proposed § 706.202(c) is presented in two options. Option A states a principles-based diversification requirement with an optional quantitative safe harbor (10 percent daily liquidity, 30 percent weekly liquidity, a 40 percent single-institution concentration cap, a 50 percent cap on daily-liquidity assets at any one institution, and a 20-day weighted average maturity). Option B states the same quantitative standards as mandatory requirements. Tokenization Systems recommends that the final rule make at least the single-institution concentration cap and the daily and weekly liquidity minimums mandatory, whether through Option B or through Option A with those elements carved out as binding floors.

Two reasons support this calibration. First, the empirical record. During the March 2023 Silicon Valley Bank failure, Circle disclosed that \$3.3 billion of USDC reserves, approximately 8 percent of total reserves, remained at SVB when the bank entered receivership, and USDC lost its peg before federal intervention through the systemic risk exception (Du, Sonawane, and Watsky, “In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins,” FEDS Notes, December 17, 2025, DOI 10.17016/2380-7172.3958). That 8 percent single-institution concentration coincided with material peg deviation: by Tokenization Systems’ own venue-and-frequency-labeled measurement, USDC traded roughly 13 percent below par at its centralized-venue intraday extreme, with an hourly volume-weighted decentralized-exchange trough of 10.4 percent. If 8 percent concentration at a single institution caused material peg deviation, a regime in which the 40 percent cap binds only as an optional safe harbor leaves the supervisor to discover excessive concentration through examination rather than through rule.

Second, cross-agency parity. The FDIC’s RIN 3064-AG19 proposal presented its 40 percent single-institution cap as a requirement at proposed § 350.4(f), and Tokenization Systems’ comment on that docket recommended retaining it as proposed. If the NCUA finalizes the same number as an optional safe harbor while the FDIC finalizes it as a requirement, the

difference is an arbitrage invitation: a sponsor selecting between an IDI-subsidary structure and a FICU-subsidary structure for a stablecoin program would face a binding concentration cap in one charter and a presumption in the other. Question 69’s calibration sub-questions (alternate minimums, alternate maturity limits for smaller issuers) are appropriately resolved in whatever direction the record supports, but the binding-versus-optional design choice should not diverge across the two insurance-fund regulators.

Recommendation 2 (Q83, Q86, Q87): Require the monthly public reserve report to name the institutions holding reserve deposits and to separate insured from uninsured amounts

Proposed § 706.202(e) requires monthly publication of reserve composition, including the average tenor and geographic location of custody of each category of reserve instruments. Tokenization Systems recommends two additions, both drawn from its FDIC AG19 comment and both squarely within questions the proposal itself poses (Question 86 asks whether the report should list and name the institutions holding Reserve Assets; Question 83 asks whether it should distinguish insured from uninsured balances): the report should identify the Eligible Financial Institutions holding reserve deposits and Share Accounts by name, and it should state the insured and uninsured portions of those balances.

The SVB episode is again the motivating record. The risk that materialized in March 2023 was not reserve composition (the assets were deposits) but reserve location (the deposits were concentrated at one institution whose failure was not anticipated by holders). A composition report that discloses “cash and deposits at insured institutions” without naming the institutions or separating the insured portion does not let a holder, a counterparty, or a researcher observe the concentration channel until it has already failed. Naming the custodial institutions in the monthly report aligns the public disclosure with the risk the diversification requirements in § 706.202(c) exist to manage, and the insured-versus-uninsured split is the single most decision-relevant fact about a reserve deposit. The NCUA’s own proposed weekly confidential report already collects this information; the recommendation is to move the institution-level location facts into the public monthly report, where the GENIUS Act’s transparency architecture suggests they belong.

II. Group II: Share insurance and tokenized shares (Recommendations 3 through 5)

Recommendation 3 (Q173 through Q176): Finalize the technology-neutral amendment to part 745 as proposed

Proposed § 745.2(f) states that the technology or type of recordkeeping an insured credit union uses to record account liabilities does not affect whether those liabilities constitute accounts. Tokenization Systems supports this amendment as proposed and recommends against narrowing it to a tokenized-share-specific provision (the alternative Question 173 floats). The parallel question arose in the FDIC’s AG19 proposal, where Tokenization

Systems supported the FDIC’s technology-neutral clarification of “deposit” on identical reasoning: the legal character of a liability is determined by its substance, not by its recordkeeping substrate, and a technology-specific rule would re-open the boundary question with every substrate generation. A technology-neutral rule at part 745 also keeps the two insurance funds’ treatment of tokenized claims aligned, which matters for the classification boundary addressed in Recommendation 5.

Recommendation 4 (Q39, Q167 through Q172): Pair the no-pass-through determination with a mandatory holder-facing disclosure, and coordinate the pass-through posture with the FDIC before finalization

The proposal would insure Share Accounts held as stablecoin reserves only as corporate accounts of the PPSI, aggregated to a single Standard Maximum Share Insurance Amount per institution, with no pass-through coverage to stablecoin holders. Questions 167 through 172 ask whether this is the best reading and what its consequences would be. Tokenization Systems makes two recommendations that hold under either reading.

First, disclosure. Whatever insurance treatment the final rule adopts, the holder-facing consequence should be disclosed at the product surface, not left to inference from a regulation. Tokenization Systems recommends a three-category disclosure, presented together and in plain language: (a) the legal nature of the holder’s claim (a contractual redemption claim against the PPSI, not an insured share); (b) the composition of the reserves backing that claim; and (c) the location and custodian of those reserves, including the insured and uninsured portions. This three-category structure (legal claim, composition, custody location) is the same disclosure architecture Tokenization Systems recommended in its OCC supplemental comment and its Treasury state-similarity comment; Question 39’s interest in disclosures regarding the applicability of share insurance fits inside category (a). The GENIUS Act’s marketing prohibitions police false affirmative claims of insurance; a mandatory three-category disclosure polices the more common failure, which is holder inference from silence.

Second, coordination. The NCUA reads the GENIUS Act’s prohibition on stablecoins being subject to share insurance as foreclosing pass-through treatment of the underlying reserve accounts. The FDIC’s AG19 proposal reached the analogous conclusion for deposit insurance, on a reading Tokenization Systems’ FDIC comment argued is more categorical than the statute requires; that comment proposed a conditional pass-through framework gated on a demanding structural qualification (an application of the MVEP framework summarized above). Tokenization Systems’ position on the merits is stated in that comment and is not repeated here. The recommendation to the NCUA is narrower: whichever posture prevails should prevail at both insurance funds. Reserve deposits at an IDI and reserve Share Accounts at a FICU are economically identical exposures; if one regime offers pass-through (conditionally or otherwise) and the other forecloses it, reserve placement and charter selection will migrate toward the more favorable treatment for reasons unrelated to safety and soundness. Questions 169 through 171 ask exactly the right questions about market demand, fund exposure, and failure risk; Tokenization Systems recommends that the NCUA and FDIC answer them jointly before either agency finalizes.

Recommendation 5 (Q180): Classify a digital asset that represents only a claim on a Share Account as a payment stablecoin backed by tokenized shares, not as the tokenized share itself

Question 180 asks how to treat a digital asset that does not directly represent a tokenized share but only an interest in or claim on a Share Account. Tokenization Systems recommends the classification it proposed to the FDIC for the parallel deposit boundary: the instrument is a payment stablecoin backed by tokenized shares (or backed by Share Accounts), not a tokenized share. The distinction is load-bearing on both sides of the boundary. If the instrument is a tokenized share, it is excluded from the GENIUS Act perimeter, insured to the member under part 745, and subject to the FCU Act's account architecture. If it is a payment stablecoin, it is inside the GENIUS perimeter, uninsured, and subject to part 706 in full. An instrument that gives the holder a claim against an intermediary whose asset is the Share Account, rather than direct ownership of the Share Account itself, has the structure of the second category, and classifying it as the first would let the issuance perimeter be escaped by one level of indirection. The classification should turn on whose liability the holder ultimately holds, which is the same substance-over-substrate principle as Recommendation 3, applied in the other direction.

III. Group III: Redemption (Recommendations 6 and 7)

Recommendation 6 (Q103): Require redemption for any holder who completes screening and onboarding, and require disclosure of the number of accounts with direct redemption rights

Question 103 asks whether the rule should explicitly require a PPSI to redeem stablecoins for any holder who completes onboarding and screening, or for any holder with an account at a regulated financial institution. Tokenization Systems recommends the first formulation, paired with a disclosure that follows the same transparency logic as Recommendation 2 even though Question 103 does not itself raise it: the PPSI's public redemption policy under § 706.203(a) should state the number of accounts that currently hold direct redemption rights.

The empirical record motivating both halves comes from the incumbent market the GENIUS framework is designed to discipline. Tether's terms of service limit direct redemption rights to 882 verified accounts, and Circle limits direct redemption to 1,834 accounts (Odinet, Tosato, and Yadav, "The Moneyiness of Stablecoins," forthcoming 136 Yale L.J. (2026), document these counts, the Tether figure from its 2025 disclosure and the Circle figure as of March 2025). Because fiat-backed issuers generally mint and redeem directly only with approved institutional customers, the remaining millions of holders reach and exit the stablecoin through secondary markets rather than the primary point of issuance (Watsky and others, "Primary and Secondary Markets for Stablecoins," FEDS Notes, Board of Governors of the Federal Reserve System, February 23, 2024); that secondary-market liquidity is untested under stress. A redemption promise that is operative for fewer than two thousand counterparties at each of the two largest issuers and nominal for everyone else is not the redemption architecture the GENIUS Act describes,

but nothing in the proposed § 706.203 text prevents an NCUA-Licensed PPSI from reproducing it through onboarding friction: the proposed rule guarantees a minimum redemption amount of one stablecoin “subject to appropriate Customer screening and onboarding,” and screening policy is where channel narrowing would occur. An explicit obligation to onboard and redeem for any holder who clears the PPSI’s published screening criteria closes that path, and the disclosure of the direct-redemption account count makes channel breadth observable so that supervision and market discipline can operate on it.

Recommendation 7 (Q97, Q99, Q101, Q102): Cap redemption fees at documented cost during the extended-redemption state, deliver fee-change notices to all holders, and unify the redemption disclosures

Three calibrations of the § 706.203 fee and disclosure architecture follow from treating redemption fees as a potential suspension mechanism by pricing. The extended-redemption state that these calibrations operate within warrants a comment of its own (Q97): Tokenization Systems supports the proposed seven-calendar-day extension as a measured stress accommodation and recommends that both its trigger (redemption demands exceeding 10 percent of Outstanding Issuance Value in 24 hours) and its duration remain specified by rule rather than set at issuer discretion, consistent with the proposal’s reservation of discretionary redemption limitations to the NCUA. First (Q99), during the extended-redemption state, when redemption demands have exceeded 10 percent of Outstanding Issuance Value in 24 hours and the timely period extends to seven calendar days, redemption fees should be capped at documented processing cost. The proposal already prohibits redemption fees entirely during forced liquidation; the same logic applies in the stress state that precedes it, because an unconstrained fee imposed mid-run functions as a discretionary redemption limitation, and the proposal elsewhere reserves discretionary limitations to the NCUA alone. Second (Q101), fee-change notices should be delivered to all holders the PPSI can reach, not only to direct purchasers; in a stablecoin structure the parties most exposed to a fee change are secondary-market holders who never transacted with the issuer. Third (Q102), Tokenization Systems supports unifying the redemption-policy, fee, and insurance-status disclosures into a single holder-facing document, which is where the three-category disclosure of Recommendation 4 belongs; a disclosure architecture scattered across customer agreements, websites, and policies fails exactly the holders it is for.

IV. Group IV: Capital (Recommendation 8)

Recommendation 8 (Q153, Q154): Pair the individualized capital requirement with an objective variable floor scaled to Outstanding Issuance Value

The proposal sets capital by individualized evaluation, with a \$5 million floor during the de novo period, consistent with the OCC’s proposed rule, which proposes the identical \$5 million de novo floor at proposed 12 CFR 15.41(a)(1)(i)(B). Question 154 asks whether the rule should instead or additionally include a variable component calculated as a percentage of Outstanding Issuance Value, and sketches a possible calibration (1.0 percent up to \$10

billion, 0.40 percent from \$10 billion to \$50 billion, 0.20 percent above \$50 billion). Tokenization Systems recommends adopting a variable floor of this form underneath the individualized requirement: the individualized evaluation sets the requirement, and the variable schedule sets the minimum it cannot fall below as issuance scales.

The motivating arithmetic is the capital gap Tokenization Systems documented in its OCC comment. The state money-transmitter baseline from which the federal PPSI framework is escaping is the Money Transmission Modernization Act, the Conference of State Bank Supervisors model law that states adopt for money transmitters, whose tiered minimum-tangible-net-worth schedule sets the greater of \$100,000 or 3 percent of the first \$100 million in assets, 2 percent of assets from \$100 million to \$1 billion, and 0.5 percent of assets above \$1 billion (Section 10.01(a)); the model law states that schedule, not a single percentage, and applying it to a representative \$40 billion issuer yields approximately \$216 million, a blended minimum of approximately 0.54 percent of assets; a bank holding the same \$40 billion faces approximately 12 percent CET1 (approximately \$4.8 billion), a gap of approximately 22 to 1 before stress testing, deposit insurance, or resolution planning. Former senior regulators have argued to the OCC that liquidity and diversification requirements are not sufficient substitutes for capital where reserves include uninsured deposits whose value can fall as bank-failure risk rises (Dudley and Liang, public comment to the OCC on GENIUS Act implementation, May 2026). A purely individualized requirement with only a de novo floor leaves the post-de-novo capital level entirely to supervisory negotiation, which produces two predictable failure modes: requirements that drift apart across the primary federal payment stablecoin regulators for identically situated issuers (the arbitrage problem of Recommendation 10), and a requirement that scales with examiner attention rather than with issuance. The Question 154 schedule, at 1.0 percent on the first tier, would sit roughly twice that blended state-baseline ratio while remaining far below bank ratios, which is a defensible floor for a narrow-purpose issuer holding statutorily constrained reserves; Tokenization Systems takes no position on the exact tier values but recommends that some objective issuance-scaled floor exist, and that its calibration be coordinated with the OCC and FDIC so that the floor is common across charters.

V. Group V: Insolvency and resolution (Recommendation 9)

Recommendation 9 (Q37, Q86, Q143, Q188): Adopt implementing rules for the GENIUS Act’s insolvency provisions, require resolution planning scaled to issuance, require reserve traceability, and make custodial-priority waivers visible

Question 188 asks whether the NCUA should adopt rules implementing the GENIUS Act’s insolvency provisions and whether PPSIs should be required to establish resolution plans. Tokenization Systems recommends yes to both, with the resolution-planning obligation scaled to issuance rather than applied uniformly, consistent with the international resolution standard’s proportionality provision that a recovery and resolution plan should “reflect [a firm’s] nature, complexity, interconnectedness, level of substitutability and size” (Financial Stability Board, Key Attributes of Effective Resolution Regimes for Financial Institutions, October 2014, Key Attribute 11.3). Three specific elements follow.

First, the segregation architecture in proposed § 706.202(a)(1) (identifiable, segregated, non-commingled reserves) is necessary but addresses a different layer than an insolvency rule. Segregation that exists as an operational practice during the going concern is not the same thing as segregation that is effective in a resolution proceeding; the difference between a statutory priority and a contractual arrangement is precisely what determines whether stablecoin holders recover at par or litigate their rank. The interagency stablecoin report made the underlying point at the outset of the reform effort: even when reserves equal the value of stablecoins in circulation, “other creditors may have a claim on the reserve assets that competes with that of stablecoin holders” (President’s Working Group on Financial Markets, Federal Deposit Insurance Corporation, and Office of the Comptroller of the Currency, Report on Stablecoins, November 2021, at 4 n.8). The preamble acknowledges that holder claims would rank senior to claims of non-payment-stablecoin creditors and asks how to implement section 4(a)(7)(B); Tokenization Systems recommends the final rule state how the part 706 segregation requirements map onto the section 11 priority in an actual proceeding, rather than leaving the mapping to the first failure.

Second, traceability (Q86). The proposal asks what measures would keep Reserve Assets traceable and linked to their payment stablecoin so as to avoid difficulties resolving claims. The monthly public composition report of Recommendation 2 and the weekly confidential data already collect the needed facts; the recommendation is a requirement that the PPSI maintain, continuously and in a form an examiner or liquidating agent can use without reconstruction, a mapping from outstanding stablecoins to the specific reserve accounts and instruments backing them. Resolution speed is a holder-protection variable: a liquidating agent who must reconstruct the reserve mapping from transaction records redeems holders slower than one who reads it from a maintained record.

Third, custodial-priority waivers (Q143). The GENIUS Act’s section 10(c)(3) priority for customer claims against a custodian is waivable by express agreement. Tokenization Systems recommends that any such waiver in a PPSI’s custody arrangements be disclosed in the holder-facing disclosure of Recommendation 4, and that the NCUA consider whether waivers should be permitted at all in custody agreements covering required Reserve Assets. A priority that the statute grants and the custody agreement quietly waives is the kind of gap between disclosed architecture and operative architecture that the MVEP framework’s insolvency-posture category exists to surface; at minimum it should not be quiet.

VI. Group VI: Cross-agency coordination (Recommendation 10)

Recommendation 10 (Q1, Q2, Q126, Q131; footnote 160): Coordinate reporting formats and primary-regulator designation on an interagency basis, and resolve the discretionary-redemption-limitation authority question explicitly

The proposal is commendably explicit about its alignment posture: definitions, risk-management standards, the de novo capital floor, and the deconsolidation treatment all track the OCC proposal, with deliberate credit-union adaptations. Three coordination items remain open, and Tokenization Systems, having commented on each sibling docket, recommends they be closed before finalization. The window for that is open and finite: the

GENIUS-implementing agencies are completing their rulemakings against the same July 18, 2026 statutory deadline, the one point at which the cross-charter divergences identified in this letter can be reconciled before divergent final rules lock them in.

First (Q126), the quarterly report of financial condition should be developed on an interagency basis across the primary federal payment stablecoin regulators, as the question contemplates. A common reporting format is what makes cross-charter supervision and research comparison possible at all; the Call Report precedent shows both that interagency formats are achievable and that retrofitting them after divergence is expensive.

Second (Q131 and the preamble’s interjurisdictional discussion), the designation of the primary federal payment stablecoin regulator for entities with plausible claims to more than one regime should be resolved through a joint policy statement before the first such application, not case by case afterward. The preamble candidly notes that the agencies may address such potential interjurisdictional issues in the future; Tokenization Systems recommends the future arrive before licensing begins, because the ambiguity is itself an arbitrage instrument: an applicant who can choose its primary regulator by structuring will choose the most permissive divergence identified anywhere in this letter. The competitive dynamic that makes ex-ante alignment preferable to after-the-fact correction is a familiar one: where a firm secures greater regulatory freedom than its rivals, the resulting cost advantage is not a product of efficiency, and compliant firms face pressure either to seek the same treatment or to lose ground, a race to the bottom in which a stricter rule can become a practical nullity (Sandeep Vaheesan, “Lawbreaking as a Method of Competition,” 75 American University Law Review (forthcoming 2026), SSRN 5433014).

Third, footnote 160. The proposal acknowledges that GENIUS Act section 4(a)(1)(B)(i) lists the state regulators, the FDIC, the Comptroller, and the Federal Reserve Board as the authorities that may impose discretionary redemption limitations, and that the NCUA is not expressly listed; the proposal concludes the NCUA holds the same authority by implication from other provisions. Tokenization Systems takes no position on whether the inference is correct. The recommendation is about sequencing and risk: a discretionary redemption limitation is, by construction, an instrument used mid-stress, and an instrument whose statutory basis is inferential will be challenged at the moment it is used, which is the worst possible moment for its validity to be uncertain. Tokenization Systems recommends that the agencies address the omission explicitly through a joint interpretation, and that the NCUA consider supporting a technical amendment that conforms the statutory list, so that the authority the rule presumes is one a court has no occasion to construe during a run. Tokenization Systems’ prior comments have flagged the inverse pattern, where a proposed regulatory mechanism reaches beyond the statutory grant; this is the rarer case where the statutory text appears to under-include the regulator, and the cure is the same in both directions: make the authority explicit rather than inferential.

VII. Group VII: Stress testing (Recommendation 11)

Recommendation 11 (Q194): Require size-scaled stress testing, with a mandatory scenario calibrated to the reserve-concentration channel of the March 2023 depeg, and make summary results public

Question 194 asks whether NCUA-Licensed PPSIs above a certain size should conduct periodic stress tests or run simulations modeled on historical stablecoin de-pegging events, how the scenarios should be designed, and whether results should be made public. Tokenization Systems recommends yes on all three points and offers concrete scenario design from the most fully documented episode.

The March 2023 depeg is the natural template because its transmission channel is measured, not hypothesized: as set out in Recommendation 1, an approximately 8 percent single-institution reserve concentration coincided with double-digit peg deviation before federal intervention. A mandatory scenario set should therefore include a single-custodian-failure shock applied to the issuer’s actual reserve-concentration profile under proposed § 706.202(c), paired with a redemption run calibrated to the extended-redemption trigger in proposed § 706.203(c) (redemption demands exceeding 10 percent of Outstanding Issuance Value in 24 hours). Summary results should be public, on the same transparency logic as Recommendation 2: a concentration exposure that materializes only in a stress test the supervisor alone sees is one the market cannot discipline. The requirement should be scaled to issuance, so that small issuers are not burdened with large-issuer testing machinery; the scenario design, not the testing apparatus, is what this episode makes available to every issuer. This recommendation connects the concentration record of Recommendation 1, the stress trigger of Recommendation 7, and the resolution-readiness concern of Recommendation 9 under a single forward-looking requirement.

VIII. Observation: Operational backstop calibration

The proposed operational backstop, twelve trailing months of total expenses held in highly liquid assets segregated from both capital and reserves, matches the calibration in the FDIC’s AG19 proposal, which Tokenization Systems’ comment on that docket characterized as a reasonable starting point. Tokenization Systems repeats that characterization here and notes that the cross-agency consistency of the backstop design is itself valuable; this is the alignment pattern Recommendation 10 asks the agencies to extend to the items where it does not yet hold.

Tokenization Systems appreciates the NCUA’s careful and unusually transparent proposal; the 199 numbered questions make the open design choices legible in a way that materially improves the quality of public input. The recommendations above are offered to support a final rule that protects payment stablecoin holders, preserves the safety and soundness of the credit union system, and avoids creating the cross-charter divergences that would undermine both.

Respectfully submitted,

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